

Conceptual Basis of Accounting

Accounting is more than Bookkeeping

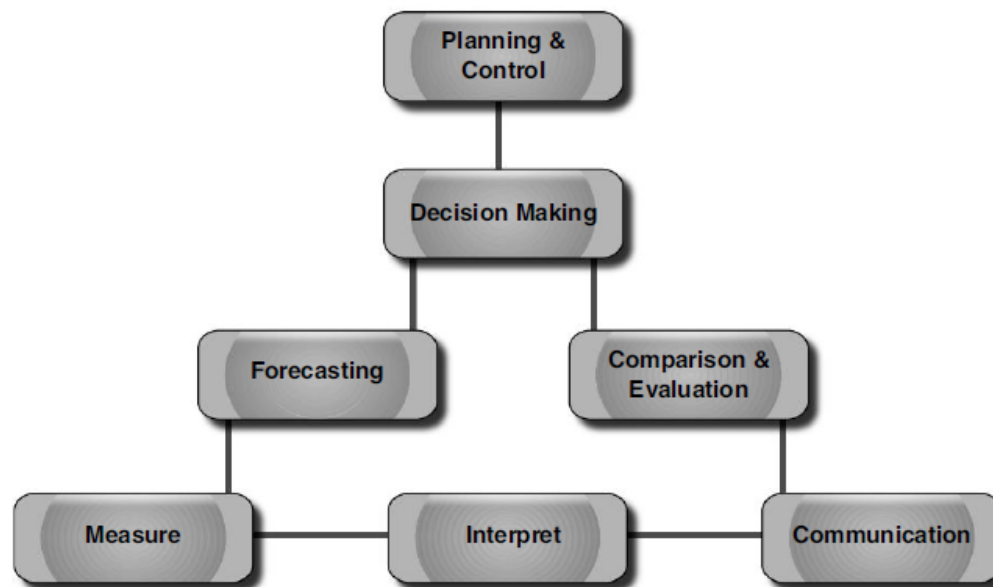
Bookkeeping	Accounting
1. Bookkeeping is a foundation/base of accounting.	Accounting uses the information provided by bookkeeping to prepare financial reports and statements.
2. Bookkeeping is one segment of the whole accounting system.	Accounting starts where the bookkeeping ends and has a broader scope than bookkeeping.
3. The result of the bookkeeping process is providing input for accounting.	The result of accounting is preparing financial statements for making informed decisions and judgments.
4. The purpose of bookkeeping is to maintain a systematic record of financial activities and transactions chronologically.	The purpose of accounting is to report the financial strength and obtain the results of the operating activity of a business.
5. Task Oriented Function	Result Oriented Function

Financial Accounting Objectives

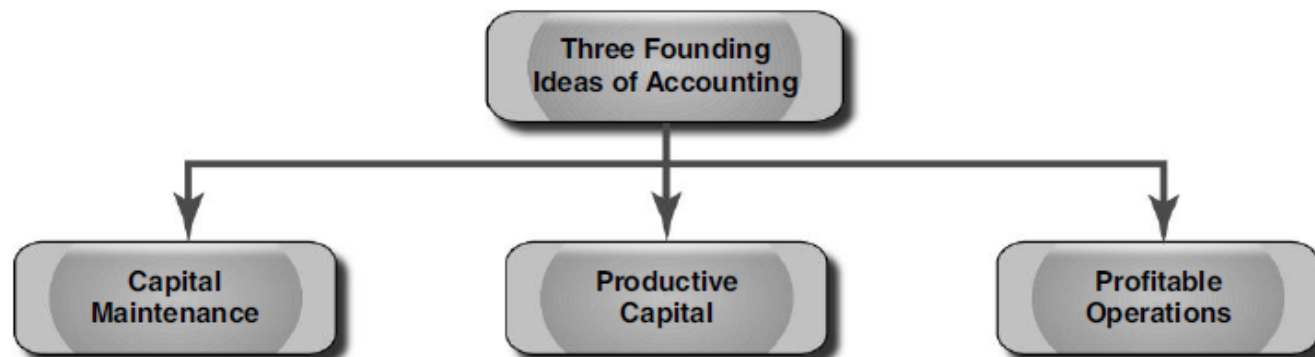
- Record
- Classify
- Analyse

The monetary value of business transactions to prepare financial statements.

Function of Accounting



Basis of accounting



Financial Statement constitute

- Balance sheet
- An income Statement (profit and loss account)
- Cash Flow Statement
- Statement of changes in equity along with the schedule of notes and accounting policy

Importance of accounting information

- Recording the accounting data
- End Result measurement
- Stewardship
- Decision-Making
- Planning and Control
- Value creation activity

Bookkeeping

- Records all transaction
- Bookkeeper
- clerical in nature
- Base of accounting, first one aspect

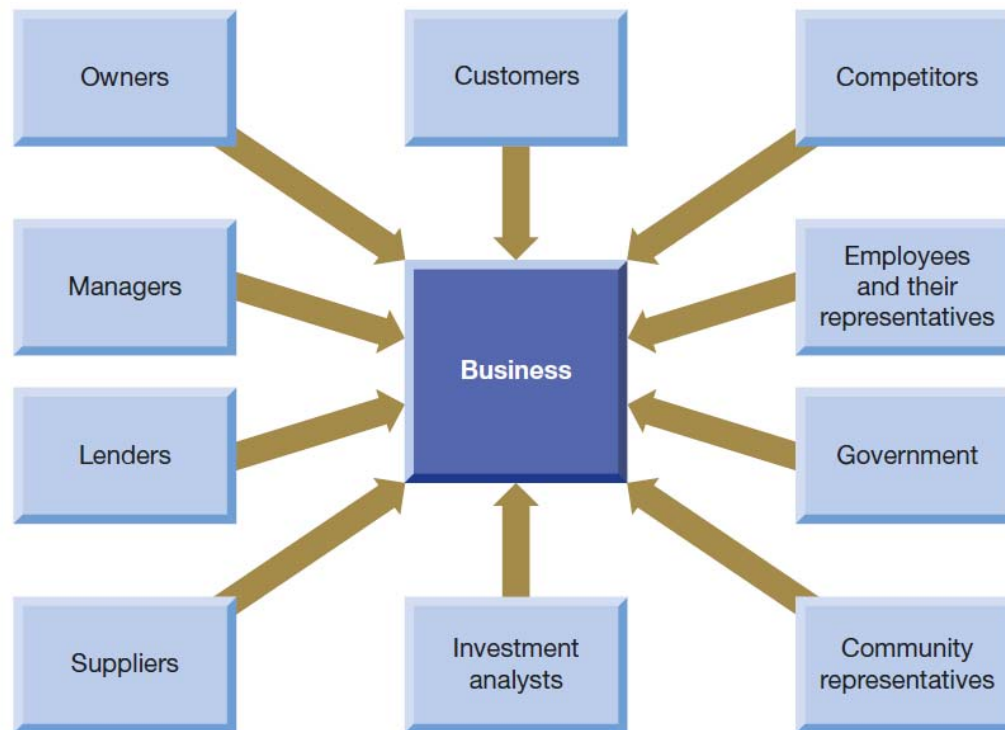
Accounting

- Record, classify, analyze
- Accountant
- Needs skills
- Include cash flow statements
P&L, changes in equity

Accounting is more than Bookkeeping

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The result of the bookkeeping process is providing input for accounting.	The result of accounting is preparing financial statements for making informed decisions and judgments.
The purpose of bookkeeping is to maintain a systematic record of financial activities and transactions chronologically.	The purpose of accounting is to report the financial strength and obtain the results of the operating activity of a business.
The objective of bookkeeping is to summarise the effect of all financial transactions of a business for a given period.	The objective of accounting is to interpret and analyse financial information for informed decisions.
The person responsible for bookkeeping is called a bookkeeper.	The person responsible for accounting is called an accountant.
Bookkeeping is clerical in nature. The bookkeepers do not require any special knowledge or skill.	Accounting requires the skills of an accountant and knowledge of various accounting practices and policies.
The financial statements are not a part of the bookkeeping process.	The financial reports and statements are prepared under the accounting process.
The bookkeeping process is in accordance with the accounting conventions and concepts.	Accounting procedures and methods for interpreting and analysing financial reports can vary from one entity to another.

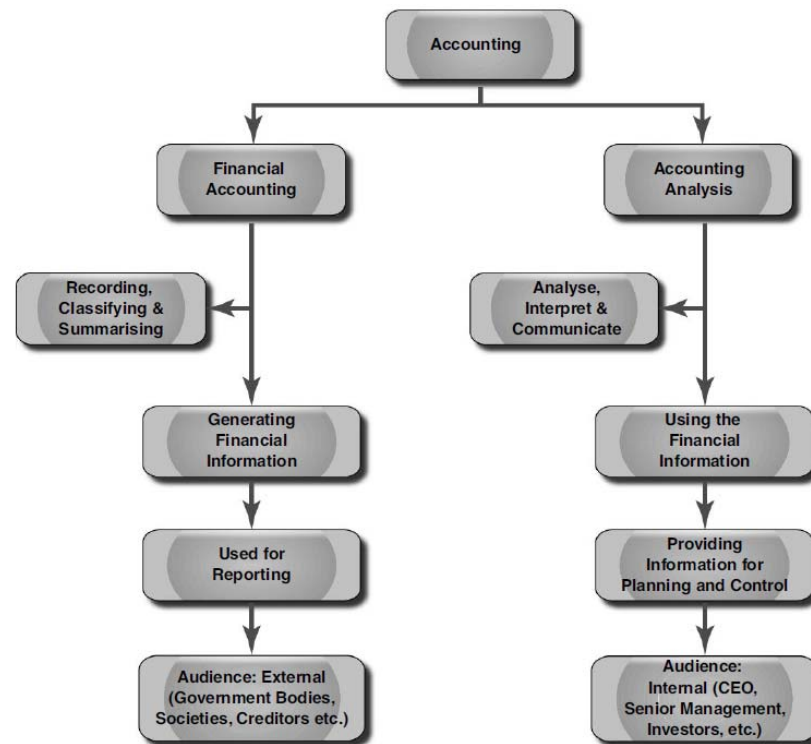
User of accounting information



Cost vs Financial Accounting

BASIS	COST ACCOUNTING	FINANCIAL ACCOUNTING
Meaning	Cost Accounting is an accounting system, through which an organization keeps the track of various costs incurred in the business in production activities.	Financial Accounting is an accounting system that captures the records of financial information about the business to show the correct financial position of the company at a particular date.
Information type	Records the information related to material, labor and overhead, which are used in the production	Records the information which are in monetary terms.
Which type of cost is used for recording?	Both historical and pre-determined cost ↳ MOL	Only historical cost.
Users	Information provided by the cost accounting is used only by the internal management of the organization like employees, directors, managers, supervisors etc.	Users of information provided by the financial accounting are internal and external parties like creditors, shareholders, customers etc.
Valuation of Stock	At cost	Cost or Net Realizable Value, whichever is less.
Mandatory	No, except for manufacturing firms it is mandatory.	Yes for all firms.
Time of Reporting	Details provided by cost accounting are frequently prepared and reported to the management.	Financial statements are reported at the end of the accounting period, which is normally 1 year.
Profit Analysis	Generally, the profit is analyzed for a particular product, job, batch or process.	Income, expenditure and profit are analyzed together for a particular period of the whole entity.
Purpose	Reducing and controlling costs.	Keeping complete record of the financial transactions.
Forecasting	Forecasting is possible through budgeting techniques.	Forecasting is not at all possible.

Two aspects of accounting



Forms of business entity

	Sole Proprietorship	Partnership	Company
✓ Owner	Sole Proprietor	Partners	Shareholders
✓ Number of Owners/ Shareholders	One Person	Min: 2 Max: 100	Private Co - Min: 2; Max: 200 Public Co - Min: 7; Max: No Limit
Legality	Not a separate legal entity	Not a separate legal entity	It is a separate legal entity
✓ Governed by	Not Applicable	Indian Partnership Act 1932	Companies Act 2013
✓ Management Control	Proprietor	Partners	Board of Directors
✓ Liability	Unlimited	Unlimited	Limited
Legal Registration	No Provision	Voluntary	Compulsory
Flexibility	Maximum	Depends on Partners	Comparatively Less
Source of Equity Funds	Proprietor brings in the funds	Partners bring in the funds	Shareholders bring in the funds
✓ Examples	M/s S&S Traders; Anil Pan Shop;	M/s Batliboi & Purohit; M/s Paradise Foam Industries;	Medinfi Healthcare Private Limited; Reliance Industries Limited;

→ Public on need
more min. owners

Practice in preparing Financial Statement

- Principles based
- Following Conventions
- Interpretable
- Commonly accepted
- Meet the needs and expectations

Definition- Entity

- An entity is any organization or activity for which accounting reports are prepared. Examples- companies, government, churches, Non-profit organizations and other non-business organizations.

Set of accounting principles

- ✓ 1. **Accrual Basis:** Financial statements are prepared on an accrual basis, which means **transactions are recorded when they occur, not when cash is received or paid**. This allows for a more accurate representation of a company's financial position and performance.
2. **Consistency:** Consistency is crucial in financial reporting. Companies should use the **same accounting methods and principles from one period to the next**. Any changes in accounting policies or practices should be disclosed and explained in the financial statements.
- ✓ 3. **Going Concern:** Financial statements are prepared on the assumption that the **company will continue its operations for the foreseeable future**. If there are any indications that the company might not continue as a going concern, this should be disclosed in the financial statements.
4. **Materiality:** Materiality refers to the **importance of an item or transaction in the context of the financial statements**. Material items should be disclosed separately to ensure users of the financial statements can make informed decisions.
- ✓ 5. **Conservatism:** The principle of conservatism suggests that **when faced with uncertainty, companies should be cautious and conservative in their estimates and judgments**. This means recognizing potential losses and expenses sooner rather than later, but being more cautious in recognizing potential gains.
 - **Recognize revenues** only when they are **reasonably certain**.
 - **Recognize expenses** as soon as they are **reasonably possible**.

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1. **Accrual** → transactions are recorded when they occur not when cash is received or paid
2. **going concern** → assumes business will run in near future
3. **comparability** → should be easily comparable with others
4. **Understandability** → " " understandable by investors etc.
5. **Neutrality** → there should be no bias or unfair information
6. **conservatism** → accounting should has conservative approach
6. **Prudence**: Prudence is related to conservatism and suggests that companies should be prudent in making estimates and assumptions in uncertain situations. This helps avoid overstating assets or income and understating liabilities or expenses.
7. **Full Disclosure**: Companies are required to disclose all significant information that could impact the users' understanding of the financial statements. This includes notes to the financial statements that provide additional details and explanations.
8. **Comparability**: Financial statements should be presented in a way that allows for comparison with previous periods and other companies in the same industry. Consistent accounting methods and disclosure practices contribute to comparability.
9. **Understandability**: Financial statements should be presented in a clear and understandable manner. Complex accounting jargon should be avoided, and the information should be easily accessible to users.
10. **Neutrality**: Financial reporting should be free from bias or undue influence. Companies should not manipulate financial information to portray a biased view of their performance or financial position.

Accounting standard: IND AS as on 01.04.2021

Comprehensive version of IND AS as on 01.04.2021	
Reference No	Description
Ind AS 101	First-time Adoption of Indian Accounting Standards
Ind AS 102	Share-based Payment
Ind AS 103	Business Combinations
Ind AS 104	Insurance Contracts
Ind AS 105	Non-current Assets Held for Sale and Discontinued Operations
Ind AS 106	Exploration for and Evaluation of Mineral Resources
Ind AS 107	Financial Instruments Disclosures
Ind AS 108	Operating Segments
Ind AS 109	Financial Instruments
Ind AS 110	Consolidated Financial Statements
Ind AS 111	Joint Arrangements
Ind AS 112	Disclosure of Interests in Other Entities
Ind AS 113	Fair Value Measurement
Ind AS 114	Regulatory Deferral Accounts
Ind AS 115	Revenue from Contracts with Customers
Ind AS 116	Leases
Ind AS 1	Presentation of Financial Statements
Ind AS 2	Inventories
Ind AS 7	Statement of Cash Flows

Comprehensive version of IND AS as on 01.04.2021	
Reference No	Description
Ind AS 8	Accounting Policies, Changes in Accounting Estimates and Errors
Ind AS 10	Events after the reporting period
Ind AS 12	Income Taxes
Ind AS 16	Property, Plant and Equipment
Ind AS 19	Employee Benefits
Ind AS 20	Accounting for Government Grants and Disclosure of Government Assistance
Ind AS 21	The Effects of Changes in Foreign Exchange Rates
Ind AS 23	Borrowing Costs
Ind AS 24	Related Party Disclosures
Ind AS 27	Separate Financial Statements
Ind AS 28	Investments in Associates and Joint Ventures
Ind AS 29	Financial Reporting in Hyperinflationary Economies
Ind AS 33	Earnings per Share
Ind AS 34	Interim Financial Reporting
Ind AS 36	Impairment of Assets
Ind AS 37	Provisions, Contingent Liabilities and Contingent Assets
Ind AS 38	Intangible Assets
Ind AS 40	Investment Property
Ind AS 41	Agriculture

Accounting Period: Fiscal years across countries

Country/Region	Purpose	(Jul)	(Aug)	(Sep)	(Oct)	(Nov)	(Dec)	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	(Jan)	(Feb)	(Mar)
Australia																						
Austria																						
Bangladesh																						
Belgium																						
Brazil																						
Canada	government																					
	corporate/personal																					
China																						
Costa Rica																						
Croatia																						
Egypt																						
Ethiopia		8 July																				
France																						
Germany																						
Greece																						
Hong Kong																						
India																						
Indonesia																						
Iran										21 March												
Israel																						
Italy																						
Japan	government/corporate(typical)																					
	personal																					
United Kingdom	personal										6 April											
	corporate/government																					
United States	federal																					
	most states																					
	corporate/personal																					
Country/Region	Purpose	(Jul)	(Aug)	(Sep)	(Oct)	(Nov)	(Dec)	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	(Jan)	(Feb)	(Mar)

Important links

- Indian Accounting Standard (Ind AS)
- https://www.mca.gov.in/Ministry/pdf/Ind_AS1.pdfhttps://www.mca.gov.in/Ministry/pdf/Ind_AS1.pdf
- TCS Example-
- <https://www.moneycontrol.com/financials/tataconsultancyservices/profit-lossVI/TCS>
- Ind AS, Ministry of Corporate Affairs
- [https://www.mca.gov.in/content/mca/global/en/acts-rules/ebooks/accounting-standards.html#:~:text=The%20Indian%20Accounting%20Standards%20\(In,held%20by%20the%20IFRS%20Foundation.](https://www.mca.gov.in/content/mca/global/en/acts-rules/ebooks/accounting-standards.html#:~:text=The%20Indian%20Accounting%20Standards%20(In,held%20by%20the%20IFRS%20Foundation.)